

CLEARANCE

AI Governance Diagnostic Report

Thameside Underwriting Agency

Insurance (UK) · Engagement ref CLR-TUA-UK-0001 · 25 September 2026

HIGH RISK

Sample report · Fictional organisation
Engine v1.6 · Library v1.9.7

AI Governance Diagnostic Report

Engagement ref	CLR-TUA-UK-0001	Date issued	25 September 2026
Organisation	Thameside Underwriting Agency	Engine version	v1.6 · Library v1.9.7
Sector	Insurance (UK)	Active layers	core, gdpr, insurance

● **HIGH RISK: 6 governance gaps identified. 0 Critical · 5 High · 1 Medium**

CRITICAL	HIGH	MEDIUM	DEPLOYMENT BLOCKERS	ASSESSMENT CONFIDENCE
0	5	1	0	100%

This report is the output of a fixed-rules diagnostic evaluation. Every gap was triggered by the intake responses against a fixed gap library. The same inputs produce the same findings every time. This is not a consultant's view. It is a structured result. It does not constitute legal or regulatory advice. Specific regulatory obligations should be confirmed with your legal or compliance adviser.

EXECUTIVE SUMMARY

This diagnostic identified 6 governance gaps across Thameside Underwriting Agency's AI deployment in the Insurance (UK) sector, spanning decision governance and audit capability and claims governance and consumer explainability. The full findings, regulatory consequences, and remediation actions are set out in this report.

The gaps identified do not represent isolated process failures. They represent the absence of structural governance controls that regulators, courts, and insurers increasingly treat as baseline obligations. Where multiple gaps are present simultaneously, the risk is not additive. It is compounding. A single incident touching an ungoverned AI system will expose every gap at once.

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Gap Findings

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Every gap below was triggered by intake signals. Each states when it becomes visible and what closes it. Gaps are ordered by severity.

MEDIUM	G02-CORE-PROVENANCE Provenance weakness A regulator or auditor asks where the data came from that drove a specific decision. Tracing it back takes days, not minutes, and for some inputs there is no trail at all. Regulatory obligations: UK GDPR Art 5(1)(d) · UK GDPR Art 22C · DUAA 2025 · ICO Data Accuracy Guidance
HIGH	G03-CORE-AUDIT Audit void A client disputes a decision and asks to see the record. The decision happened. The record of it did not. Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · EU AI Act Art 12
HIGH	INS-G19-DELEGATED-AUTHORITY-AI-OVERSIGHT AI-assisted underwriting or claims decisioning delegated to a coverholder or DCA without managing agent oversight Lloyd's Delegated Authorities team asks the managing agent whether any coverholder operating under its binders uses AI in claims decisioning. The managing agent cannot answer, it has never asked, and the binder does not require the coverholder to say. Regulatory obligations: PRA Rulebook, Solvency II Firms: Conditions Governing Business 7 (Outsourcing) · Solvency II Regulation (EU) 2015/35, Article 274, outsourcing of insurance functions · Lloyd's Delegated Authority framework, Coverholder Approval Process and ongoing bordereaux/audit oversight
HIGH	INS-G20-PRICING-ENBP-EVIDENCE AI-driven renewal pricing model without evidence it satisfies the Equivalent New Business Price rule The FCA's GIPP multi-firm review asks the firm to produce the evidence its senior manager relied on to attest ENBP compliance for its AI-driven pricing model. The firm has a pricing policy document. It does not have model-specific evidence, and the attester signed anyway. Regulatory obligations: ICOBS 6B.2.1R, prohibition on pricing steps that increase existing customer prices relative to ENBP · ICOBS 6B.2.57R, record-keeping requirement for basis of ENBP compliance · PS21/5 and PS21/11, annual senior manager SM&CR attestation of pricing compliance · PROD 4.2.14AR / 4.2.14BR, fair value assessment requirements

HIGH	INS-G21-UNDERWRITING-PROXY-DISCRIMINATION AI underwriting or pricing model uses protected-characteristic proxies without an actuarial justification the firm can evidence A journalist asks the firm whether its underwriting model prices differently by postcode in a way that reproduces a racial pattern. The firm has never tested for this itself and has no actuarial file to point to, for age or disability it might have had a defence; for this, it has none. Regulatory obligations: Equality Act 2010, s.19, indirect discrimination (provision, criterion or practice test) · Equality Act 2010, s.13, direct discrimination · Equality Act 2010, Schedule 3, Part 5, para 20A, financial service age exception, conditional on relevance and reliable source · Equality Act 2010, Schedule 3, Part 5, para 21, disability insurance exception · Equality Act 2010 (Amendment) Regulations 2012, removal of the sex-based insurance exception following Test-Achats (Case C-236/09) · UK GDPR Art 22, automated decision-making and profiling
HIGH	INS-G24-VULNERABLE-CUSTOMER-AI-ASSESSMENT AI-driven underwriting or pricing decision affects vulnerable customers without FG21/1-aligned safeguards The FCA's independent review of travel underwriting for pre-existing mental health conditions lands on the firm's desk. The firm has never looked at its own AI model's decline pattern against that specific criterion, the regulator's review is the first time anyone has. Regulatory obligations: Equality Act 2010, s.19, indirect discrimination (where vulnerability correlates with a protected characteristic)

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Regulatory Obligations

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The obligations below are engaged by the gaps identified in this report. GAP: a triggered finding directly engages this obligation. REVIEW: this obligation is relevant to your sector and worth examining. NOT COVERED: this assessment did not include questions for this obligation.

OBLIGATION	RELEVANCE	STATUS
UK GDPR Art 6	Lawful basis must be documented for every AI processing activity involving personal data	REVIEW
UK GDPR Art 22C	Human review mechanism required for automated decisions affecting individuals	REVIEW
UK GDPR Art 28	Data Processing Agreements required with every AI vendor processing personal data	REVIEW
DUAA 2025	AI-specific data rights and oversight obligations under the Data Use and Access Act	REVIEW
FCA Consumer Duty (PS22/9) / ICOBS 8.1	Customers understand AI-supported outcomes; reasonable grounds for rejecting claims	REVIEW
PRA / FCA outsourcing; binding authority oversight	Managing agent or insurer oversight of AI used by coverholders and DCAs	GAP
FCA ICOBS 6B pricing practices (ENBP)	Home and motor renewal prices no higher than equivalent new business price, with records	GAP
Equality Act 2010	No direct or indirect discrimination through AI rating factors or proxies	GAP
FCA PROD 4	Product approval, target market and fair value covering the AI's role	REVIEW
FCA FG21/1 vulnerable customers	Fair treatment of customers in vulnerable circumstances affected by AI	GAP

NEXT STEP

CLEARANCE identifies gaps. It does not remediate them. Remediation is carried out by a qualified partner. Contact whoever provided this report to discuss next steps.

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Remediation Roadmap

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One action per gap. Ordered by timeline. Critical gaps require immediate action. High severity gaps must be addressed within 90 days. Medium severity gaps within 180 days.

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	G03-CORE-AUDIT Audit void	Start logging every decision this system makes today: date, input, output, rule applied, in a write-once store. This is the foundation. Every other governance control depends on it existing.	HIGH	your compliance lead
90 DAYS	INS-G19-DELEGATED-AUTHORITY-AI-OVERSIGHT AI-assisted underwriting or claims decisioning delegated to a coverholder or DCA without managing agent oversight	Amend the binder to require AI disclosure. Add an AI-use field to bordereaux templates. Extend the existing delegated authority audit programme to cover AI governance specifically. These are contractual and process controls, they do not require the managing agent to touch the coverholder's technology.	HIGH	your compliance lead

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	INS-G20-PRICING-ENBP-EVIDENCE AI-driven renewal pricing model without evidence it satisfies the Equivalent New Business Price rule	Build the ENBP evidence pack for the model's actual output. Test for tenure-proxy variables in the feature set. Brief the attestor on the model specifically before the next annual sign-off. These are documentation and testing controls, they do not require rebuilding the pricing model itself.	HIGH	your compliance lead
90 DAYS	INS-G21-UNDERWRITING-PROXY-DISCRIMINATION AI underwriting or pricing model uses protected-characteristic proxies without an actuarial justification the firm can evidence	Test the model's feature set against each protected characteristic separately, since the legal position differs by characteristic. Build the actuarial justification file for age and disability features that pass. Remove or retire any feature correlating with sex or race. Repeat testing after every retrain.	HIGH	your compliance lead
90 DAYS	INS-G24-VULNERABLE-CUSTOMER-AI-ASSESSMENT AI-driven underwriting or pricing decision affects vulnerable customers without FG21/1-aligned safeguards	Build vulnerability flagging into the underwriting workflow. Run the mental-health/travel-insurance and social-renter/contents-insurance comparisons internally now. Train staff on override authority. These are review and process controls, not a rebuild of the underwriting model.	HIGH	your compliance lead
180 DAYS	G02-CORE-PROVENANCE Provenance weakness	Create a register of every data source feeding this system. Assign an owner and a validation status to each.	MEDIUM	your system architect

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Evidence Appendix

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ASSESSMENT RESPONSES

QUESTION	RESPONSE	CATEGORY
AI system is live in production or active pilot	Yes	Your AI system
System makes or influences high-impact decisions	Yes	Your AI system
Decisions execute without individual human review	Yes	Your AI system
A written decision boundary document exists	Yes	Rules and boundaries
That document is version-controlled and enforced at runtime	Yes	Rules and boundaries
System uses data from outside the organisation	Yes	Data
Purpose-compatibility assessment completed for external data use	Yes	Data
Every input is traceable to its origin, owner, and last update	No	Data
Automated validation runs before data reaches the system	No	Data
Every decision is logged automatically at the time it happens	Yes	Records and accountability
A tamper-evident, provable audit trail exists	No	Records and accountability
A functioning human override mechanism exists and is used	Yes	Records and accountability
A named individual is personally accountable for this system	Yes	Records and accountability
Documented data subject rights process covers this AI system	Yes	Records and accountability
An incident, near-miss, or complaint has occurred	No	When things go wrong
Documented corrective action was taken following the incident	No	When things go wrong
Does this AI system operate under a coverholder, MGA, or delegated claims administrator (DCA) arrangement, where underwriting or claims decisions are made under a binding authority rather than directly by your firm?	Yes	Insurance Controls
Does the binding authority agreement require the coverholder or DCA to disclose AI use in underwriting or claims decisioning, including material changes to that AI during the binder period?	No	Insurance Controls
Does this AI system make or support underwriting, pricing or claims decisions that affect retail customers?	Yes	Insurance Controls

QUESTION	RESPONSE	CATEGORY
Can customers get a clear explanation of an AI-supported underwriting or claims outcome, including reasonable grounds when a claim is rejected?	Yes	Insurance Controls
Is AI used in renewal pricing for home or motor insurance sold to retail customers?	Yes	Insurance Controls
Is there documented evidence that AI-driven renewal prices do not exceed the equivalent new business price (ENBP), with records kept of how compliance is checked?	No	Insurance Controls
Has the firm documented testing of whether the AI's inputs or outputs act as proxies for protected characteristics, with a justification for any rating factor that does?	No	Insurance Controls
Does the firm's PROD 4 product approval and fair value process explicitly cover the AI's role in product design, pricing or target market definition?	Yes	Insurance Controls
Has the firm assessed how this AI system affects customers in vulnerable circumstances, with safeguards in line with FCA FG21/1?	No	Insurance Controls

ASSESSMENT INTEGRITY

Organisation: Thameside Underwriting Agency
Sector: Insurance (UK)
Run ID: c2150906-7041-4adf-ae9c-3491bf4f9571
Engine version: v1.6 · **Library version:** v1.9.7
Active layers: core, gdpr, insurance
Findings hash: 65dd74b01d6472619787eca85eeddbe2b9057298c3d6d6480da3a258763b9906
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